

AUDIT INVESTIGATION REPORT

Investigation No. INV-00118 | Type: Vendor Risk Assessment

Investigation ID:	INV-00118
Investigation Type:	Vendor Risk Assessment
Status:	COMPLETED
Trigger Source:	Expense audit escalation
Lead Investigator:	Corey Perez (EMP-48811)
Subject Employee:	Charles Hull (EMP-40795)
Related Vendor:	PrimeAxis Corp LLC (VND-03420)
Related Transaction:	TXN-744820
Scope Period:	2022-01-23 to 2023-12-31
Created Date:	2025-03-25
Completed Date:	2025-04-26
Outcome:	UNSUBSTANTIATED

1. AUDIT QUESTION

"Which vendors received payments after their compliance certificate expired?"

2. BACKGROUND

This investigation was initiated following a expense audit escalation relating to activity associated with employee Charles Hull (EMP-40795) and vendor PrimeAxis Corp LLC (VND-03420). The investigation scope covers the period 2022-01-23 to 2023-12-31 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-744820 (amount 805.81 USD, risk score 0.86). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-003259	HIGH	EXPIRED COMPLIANCE	Payment of \$324,696 released to YellowBridge Partners whose SOC 2 compliance expired 301 days before payment date.

5. CONCLUSION

Based on the evidence reviewed, the investigation team was unable to substantiate the original allegation. Records and interviews were consistent with normal business activity.

6. ACTIONS TAKEN

- Formal written warning issued and recorded in personnel file.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Corey Perez	EMP-48811	2025-04-26